

ther fund-raising and significant expansions after listing in several cases. “This segment has emerged as a true alternative for early-stage businesses to raise growth capital without the interest burden,” he says.

THE NUMBERS GAME

When the segment launched, each of the two exchanges wanted to achieve supremacy by getting more companies to list on its respective platform. The BSE took the lead in the first four years, with nearly 120 SMEs listing on its platform against 11 on NSE Emerge; NSE claimed it was focussing on quality, not quantity. While the BSE has maintained its lead in most of the years since launch, the NSE did manage to outpace it in 2017 and 2018, by getting a total of 159 SMEs on its platform against the BSE’s 118.

Till June 2022, a total of 383 SMEs had entered the capital markets by listing on BSE SME while NSE Emerge saw 257 listings. And in terms of the number of companies migrating from the SME segment to the main board, the BSE leads with 147 entities against the NSE’s 109.

Ajay Kumar Thakur, Head of BSE SME & Start-up, BSE, attributes this trend to the awareness efforts put in by the exchange along with markets regulator Sebi, state governments, merchant bankers and industry associations. “We have got companies listed from 20 states... This will help them in getting equity funding, create visibility and transparency and unlock their value,” he says, adding that growth in the sector will create employment.

In the current calendar year till June, as many as 45 SMEs launched IPOs—nearly thrice the number of issues on the main board—to get listed, with the cumulative size of the public issues pegged at nearly ₹800 crore. The first six months of CY22 have already seen the quantum of funds raised move past last year’s total of ₹746 crore, as per data from Prime Database. The amount, however, is lower than what was witnessed in 2018 when 141 SMEs entered the capital markets while raising a record ₹2,287 crore.

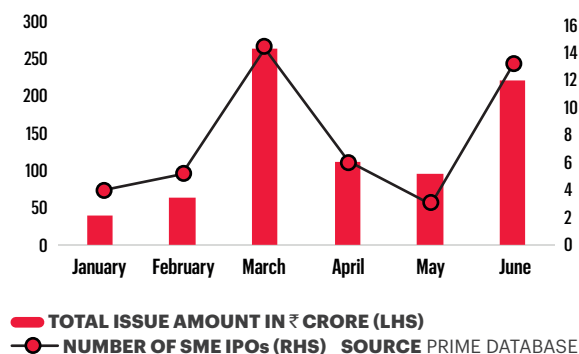
STORMY WINDS

The numbers may show that the SME segment is robust and growing but it did have its own share of controversies.

In 2015, a few companies in the segment, along with

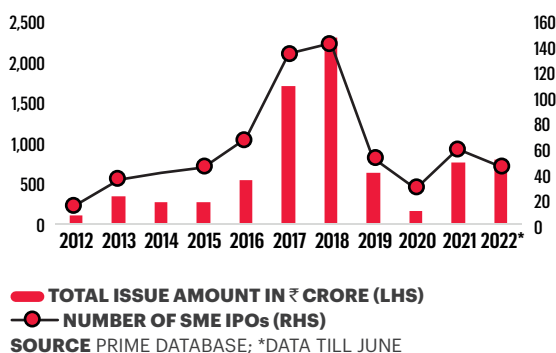
SME IPOs IN 2022

This year, March and June saw the highest number of IPOs by SMEs, with 27 of them raising ₹487 crore in total



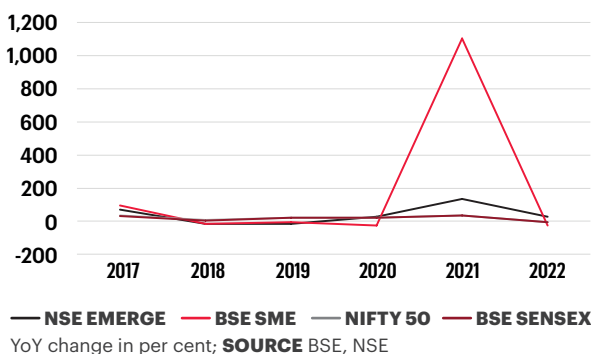
THE LISTING GAME

In the past 10 years, 655 SMEs have raised a total of ₹7,792 crore by listing on the bourses



BEATING THE BENCHMARK

While minuscule in size, the SME indices have beaten the Nifty and Sensex in the past three years



GRAPHICS BY RAHUL SHARMA